

5-2f Summary: Recording Inventory Transactions

Recording inventory transactions under the perpetual inventory system has been described and illustrated in the preceding sections. These transactions involved purchases, purchases returns and allowances, freight, cost of goods sold (from sales), and customer returns. [Exhibit 9](#) summarizes how these transactions are recorded in T account form.

Exhibit 9

Recording Inventory Transactions

Inventory			
Purchases	XXX	Purchases returns and allowances	XXX
Freight for merchandise purchased FOB shipping point	XXX	Cost of goods sold	XXX
Customer returns	XXX		
Estimated Returns Inventory			
Adjusting entry for estimated customer returns	XXX	Customer returns	XXX
Cost of Goods Sold			
Cost of goods sold	XXX	Adjusting entry for estimated customer returns	XXX